

Number 38 *of* 2014

COMPANIES ACT 2014

REVISED

Updated to 21 August 2020

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All Acts up to and including the *Criminal Justice (Enforcement Powers) (Covid-19) Act 2020* (14/2020), enacted 11 September and all statutory instruments up to and including the *Companies (Miscellaneous Provisions) (Covid-19) Act 2020 (Commencement) Order 2020* (S.I. No. 320 of 2020), made 20 August 2020, were considered in the preparation of this Revised Act.

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COMPANIES ACT 2014

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An Act to consolidate, with amendments, certain enactments relating to companies and to provide for related matters.

[23*rd December,* 2014]

Be it enacted by the Oireachtas as follows:

PART 1

PRELIMINARY AND GENERAL

Short title and commencement

1. (1) This Act may be cited as the Companies Act 2014.

(2) This Act shall come into operation on such day or days as the Minister may appoint by order or orders either generally or with reference to any particular purpose or provision and different days may be so appointed for different purposes or different provisions.

(3) Without prejudice to the generality of *subsection (2)*, an order or orders under that subsection may appoint different days for the coming into operation of *section 4* or *1325* so as to effect the repeal or revocation provided by *section 4* or *1325* of—

(a) an enactment specified in *Part 1* or *Part 2* of *Schedule 2* or in *Schedule 15*, as the case may be, on different days for different purposes; or

(b) different provisions of an enactment specified in *Part 1* or *Part 2* of *Schedule 2* or in *Schedule 15*, as the case may be, on different days.

Interpretation generally

2. (1) In this Act—

F1**[**...**]**

"Acting Director" means a person appointed under *section 948* as the Acting Director of Corporate Enforcement;

"Act of 1963" means the Companies Act 1963;

"Act of 1990" means the Companies Act 1990;

(c) attach terms and conditions to the relevant recognition that relate to the performance by the body concerned of a *Part 27* function, either (as specified in the notice) in all cases or in a particular case.

(6) (a) Subject to *paragraph (b)*, the Supervisory Authority shall not give a *section 931* notice, or a notice under *subsection (4)*, to the body concerned unless, in the interests of procedural fairness, it has first—

(i) given the body a notice in writing stating the nature of the notice that it is minded to give the body and the reasons why it is so minded, and

(ii) given the body a reasonable opportunity, in the circumstances concerned, to make representations in writing to the Supervisory Authority on what is stated in the notice referred to in *subparagraph (i)*.

(b) *Paragraph (a)* shall not apply in any case where a *section 931* notice is giving effect to a request referred to in *section 930(4)*.

(7) The Supervisory Authority may publish information on its website regarding—

(a) a *section 931* notice given to the body concerned and the body's response (if any) thereto, or

(b) a notice under *subsection (4)* given to the body concerned and the body's response (if any) thereto.

(8) Where a disciplinary committee of the body concerned has reasonable grounds for believing that a category 1 or 2 offence may have been committed by a person while the person was a member of the body, the body shall, as soon as is practicable, provide a report to the Director giving details of the alleged offence and shall furnish the Director with such further information in relation to the matter as the Director may require.

(9) Where the body concerned fails to comply with *subsection (8)* or a requirement of the Director under that subsection, the body, and any officer of that body to whom the failure is attributable, shall be guilty of a category 3 offence.

(10) Any terms and conditions which were, immediately before the commencement of section 28 of the Companies (Statutory Audits) Act 2018, attached under this section as in force immediately before that commencement to the relevant recognition of the body concerned shall, on and from that commencement, be deemed to be terms and conditions attached to that recognition by virtue of a *section 931* notice, and *section 906(4)(d)* and the other provisions of this section (including *subsection (3)*) shall be read accordingly.**]**

Investigation by disciplinary committees of prescribed accountancy bodies

F326**[Investigation 931A.** (1) In this section—

'client' has the same meaning as it has in *section 934*;

F327**[**'relevant person', in relation to an investigation of a member or former member of a prescribed accountancy body, means—

(a) that member or any other member or former member of the prescribed accountancy body,

(b) a client or former client of the member,

(c) if the client or former client is a body corporate, a person who is or was an officer, employee or agent of the client or former client,

(d) the prescribed accountancy body or a person who is or was an officer, employee or agent of that body,

(14) An appeal under *subsection (13)* shall be brought within 3 months after the date on which the prescribed accountancy body or specified person, as appropriate, was notified by the Supervisory Authority of the decision.

(15) For the purposes of *subsection (10)*—

(a) the Supervisory Authority may prescribe by regulations—

(i) that specified procedures and methods of calculation shall apply in the determination of the amount of costs so incurred by it, and

(ii) requirements otherwise as to the liability of, as appropriate, the prescribed accountancy body or specified person for, and the manner in which that body or person shall pay, that amount,

and

(b) in default of payment of that amount to the Supervisory Authority, the Authority may recover that amount as a simple contract debt in any court of competent jurisdiction.

(16) The production of any books or documents under this section by a person who claims a lien on them does not prejudice the lien.

(17) Nothing in this section shall be construed to prevent the undertaking of one investigation under this section into 2 or more possible relevant contraventions committed by the same specified person where one or more of such possible contraventions fall within *paragraph (a)* of the definition of 'relevant contravention' and one or more of such possible contraventions fall within *paragraph (b)* of that definition.**]**

F333**[Supplemental provisions to *section 934* - certain specified persons**

934A. (1) This section applies to a specified person the subject of a decision under *section 934(8)* that the person has committed a relevant contravention.

(2) Where applicable, the Supervisory Authority shall direct the prescribed accountancy body of which the specified person referred to in *subsection (1)* is a member to take any necessary action on foot of the imposition of a relevant sanction on the person and that body shall comply with the direction.

(3) The Supervisory Authority shall, as soon as is practicable after imposing a relevant sanction on a specified person referred to in *subsection (1)*, notify the prescribed accountancy body of which the specified person is a member of the imposition of the sanction together with such particulars of the person, the relevant contravention concerned and the sanction as the Supervisory Authority considers appropriate.**]**

F334**[Immediate action required to protect public**

934B. (1) This section applies if the Supervisory Authority is of the opinion that the nature or gravity of the possible relevant contravention committed by a specified person warrants, in the interest of protecting the public, a direction to the specified person prohibiting him or her from carrying out statutory audits or signing statutory auditors' reports, or both, until steps or further steps are taken under *section 934* in relation to that contravention by that person.

(2) The Supervisory Authority may make an *ex parte* application to the court for a direction referred to in *subsection (1)* until the steps or further steps referred to in that subsection are taken.**]**

F350[Publication of relevant sanction imposed, etc

935D. F351[...]]

Review of members of recognised accountancy bodies

936. F352[...]

F353[**Supplemental provisions in relation to *section 934* - relevant directors**

936A. (1) This section applies if—

(a) either—

(i) a specified person is the subject of a decision under *section 934(9)* that he or she has committed a relevant contravention, or

(ii) the Supervisory Authority and a specified person who falls within *paragraph (b)* of the definition of 'specified person' have entered into a *section 934E* agreement in respect of a relevant contravention that the Supervisory Authority reasonably believes that the person has committed,

and

(b) that contravention relates, whether directly or indirectly, to the audit of a public-interest entity.

(2) The Supervisory Authority shall, as soon as is practicable, give the Director particulars of—

(a) the specified person,

(b) the relevant contravention, and

(c) the public-interest entity.

(3) The Supervisory Authority shall, in addition to complying with *subsection (2)*, give the Director such information and documents and assistance as the Director may reasonably require for the Director to decide whether or not—

(a) to investigate under *Part 13* a relevant director, or

(b) to impose, under *section 957B*, a relevant sanction (within the meaning of *section 957AA*) on a relevant director for engaging in conduct giving rise (whether in whole or in part) to the relevant contravention,

or both.]

F354[**Communication with the CEAOB**

936B. (1) The Supervisory Authority shall immediately communicate to the CEAOB particulars of—

(a) any direction under *section 934(8)* that is equivalent to a direction referred to in *paragraph (b)*,

(b) any direction given by the Authority under *section 934C(2)(e)* or *(f)*, and

(c) any direction given by the Director under *section 957C(2)(b)*.

(2) The Supervisory Authority shall, as soon as may be after the end of a year, give to the CEAOB aggregated information in relation to—

void in so far as it would have the effect of restricting the eligibility of a person to be appointed as a proxy.

Traded PLC may permit vote to be cast in advance by correspondence

1109. (1) A traded PLC may permit, by appropriate arrangements, a vote to be exercised for the purpose of a poll (that is to be taken at a general meeting) by means of the vote being cast in advance by correspondence.

(2) Any such arrangements may be made subject only to such requirements and restrictions as are—

(a) necessary to ensure the identification of the person voting, and

(b) proportionate to the achievement of that objective.

(3) A traded PLC shall not be required to count votes cast in advance by correspondence pursuant to *subsection (1)* unless such votes are received before the date and time specified by the PLC; however, for that purpose, the PLC may not specify a date and time that is more than 24 hours before the time at which the vote is to be concluded.

Voting results

1110. (1) Where a member requests a full account of a vote before or on the declaration of the result of a vote at a general meeting, then with respect to each resolution proposed at a general meeting the traded PLC shall establish—

(a) the number of shares for which votes have been validly cast;

(b) the proportion of the company's issued share capital at close of business on the day before the meeting represented by those votes;

(c) the total number of votes validly cast; and

(d) the number of votes cast in favour of and against each resolution and, if counted, the number of abstentions.

(2) Where no member requests a full account of the voting before or on the declaration of the result of a vote at a general meeting, it shall be sufficient for the traded PLC to establish the voting results only to the extent necessary to ensure that the required majority is reached for each resolution.

(3) A traded PLC shall ensure that a voting result established in accordance with this section is published on its website not later than the expiry of 15 days after the date of the meeting at which the voting result was obtained.

F406[**CHAPTER 8A**

Rights of shareholders]

F407[Interpretation, application and commencement (*Chapter 8A*)

1110A. (1) In this Chapter—

'General Data Protection Regulation' means Regulation (EU) 2016/679 of the European Parliament and of the Council of 27 April 2016 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation)[7];

'intermediary' means a person, whether situated in a Member State or elsewhere, that provides services, in relation to a traded PLC, of safekeeping of shares, administration of shares or maintenance of securities accounts on behalf of shareholders or other persons, and includes—

7 OJ No. L 119, 4.5.2016, p.1

the shareholder to whom it relates shall, as soon as practicable, transmit the relevant confirmation directly to that shareholder.

(6) A shareholder in a traded PLC may nominate a third party to exercise rights, make requests, receive confirmations and carry out any other functions under this section on the shareholder's behalf, and, accordingly, references in this section to 'shareholder' shall be construed as including any such third party.

(7) This section shall come into operation on 3 September 2020.**]**

F411**[**Non-discrimination, proportionality and transparency of costs

1110E. (1) Where an intermediary charges a fee for providing a service under this Chapter, the intermediary shall publicly disclose the fee charged for such service.

(2) Subject to *subsection (3)*, where an intermediary charges a shareholder, traded PLC or intermediary a fee for providing a service under this Chapter, the first-mentioned intermediary shall not charge a different fee for providing the service on a cross-border basis than the fee it charges for providing that service in the State.

(3) An intermediary may charge a different fee for providing a service on a cross-border basis than the fee it charges for providing the service in the State where the difference between the fees charged—

(*a*) is duly justified, and

(*b*) reflects the difference between—

(i) the actual costs incurred by the intermediary in providing the service on a cross-border basis, and

(ii) the actual costs incurred by the intermediary in providing the service in the State.**]**

F412**[CHAPTER 8B**

***Transparency of institutional investors, asset managers and proxy advisors*]**

F413**[**Interpretation and application (*Chapter 8B*)

1110F. (1) In this Chapter—

'engagement activity' means any activity, action, plan or document that is carried out or made for the purpose of giving effect to an engagement policy;

'relevant asset manager' means an asset manager—

(*a*) that invests in shares traded on a regulated market on behalf of investors, and

(*b*) in respect of which the competent Member State, within the meaning of Article 1(2)(*a*) of the Shareholders' Rights Directive, is the State;

'relevant institutional investor' means an institutional investor—

(*a*) that invests, whether directly or through an asset manager, in shares traded on a regulated market, and

(*b*) in respect of which the competent Member State, within the meaning of Article 1(2)(*a*) of the Shareholders' Rights Directive, is the State.

(2) A word or expression that is used in this Chapter and is also used in the Shareholders' Rights Directive has, unless the context otherwise requires, the same meaning in this Chapter as it has in that Directive.**]**

copy of that document delivered a translation of it into the English language or the Irish language, certified in the manner prescribed for the purposes of *section 348*.

(3) If a company to which *subsection (1)* applies fails to comply with the requirements of this section, the company and any officer of it who is in default shall be guilty of a category 3 offence.

(4) In *subsection (3)*, 'officer' includes any shadow director and *de facto* director.**]**

F512**[**PART 27

Statutory Audits**]**

F513**[**CHAPTER 1

*Preliminary and interpretation***]**

F514**[Interpretation (*Part 27* and *Schedules 19* and *20*)**

1461. (1) In this Part and *Schedules 19* and *20*—

'2010 Audits Regulations' means the European Communities (Statutory Audits) (Directive 2006/43/EC) Regulations 2010 (S.I. No. 220 of 2010) revoked by Regulation 2(1) of the 2016 Audits Regulations;

'2016 Audits Regulations' means the European Union (Statutory Audits) (Directive 2006/43/EC, as amended by Directive 2014/56/EU, and Regulation (EU) No 537/2014) Regulations 2016 (S.I. No. 312 of 2016) revoked by section 3(6) of the Companies (Statutory Audits) Act 2018;

'AAPA report' shall be read in accordance with *section 930B(1)*;

'additional report to the audit committee' means the report submitted to the audit committee of a public-interest entity by the statutory auditor or audit firm carrying out statutory audits as referred to in Article 11 of Regulation (EU) No 537/2014;

'approved', in relation to a statutory auditor or audit firm, means approved under this Part;

'aptitude test' means an aptitude test referred to in *section 1476(1)*;

'audit committee', in relation to a public-interest entity, means the audit committee established for the entity under *section 1551*;

'Audit Directive' means Directive 2006/43/EC of the European Parliament and of the Council of 17 May 2006[5] on statutory audits of annual accounts and consolidated accounts, amending Council Directives 78/660/EEC and 83/349/EEC and repealing Council Directive 84/253/EEC, as amended by Directive 2014/56/EU of the European Parliament and of the Council of 16 April 2014[6] amending Directive 2006/43/EC on statutory audits of annual accounts and consolidated accounts;

'audit working papers', in relation to a statutory auditor or audit firm, means material (whether in the form of data stored on paper, film, electronic media or other media or otherwise) prepared by or for, or obtained by the statutory auditor or audit firm in connection with, the performance of the audit concerned, and includes—

(a) the record of audit procedures performed,

(b) relevant audit evidence obtained, and

(c) conclusions reached,

[5] OJ No. L 157, 9.6.2006, p.87

[6] OJ No. L 158, 27.5.2014, p.196

Standards for statutory auditors]

F547[**Continuing education**

1489. (1) It shall, by virtue of this section alone, be a condition of a statutory auditor's approval (or, in the case of a statutory auditor referred to in *section 1471*, deemed approval) granted under this Part (or under any predecessor to this Part) that he or she shall take part in appropriate programmes of continuing education in order to maintain his or her theoretical knowledge, professional skills and values, including, in particular, in relation to auditing, at a sufficiently high level.

(2) The Supervisory Authority shall, at such times as it thinks it appropriate to do so, issue guidelines to the recognised accountancy bodies with regard to what constitutes compliance with the condition referred to in *subsection (1)*.**]**

F548[**Professional ethics**

1490. A recognised accountancy body shall subject statutory auditors and audit firms to principles of professional ethics, including at least their public interest function, their integrity and objectivity and their professional competence and due care.**]**

F549[**Independence, objectivity and professional scepticism**

1491. Statutory auditors and audit firms are subject to the independence, objectivity and professional scepticism requirements of *sections 1533* to *1544* and *1547*.**]**

F550[**Standards for purposes of *sections 1489* to *1491***

1492. (1) A recognised accountancy body shall, in respect of statutory auditors and audit firms—

(a) have adequate standards requiring those auditors and audit firms to comply with the obligations specified in *sections 1489* to *1491*, and

(b) institute adequate arrangements for the effective monitoring and enforcement of compliance with such standards.

(2) No standards shall be used by a recognised accountancy body for that purpose unless those standards have (with respect to that use) first been approved by the Supervisory Authority in accordance with *section 905(2)(c)*.**]**

F551[**Arrangements for enforcement of standards**

1493. The arrangements for enforcement referred to in *section 1492(1)(b)* shall include, in accordance with *sections 1501* and *1502*, provision for—

(a) sanctions which include—

(i) at the discretion of the recognised accountancy body, in accordance with *section 1501*, the withdrawal of approval under this Part as a statutory auditor or audit firm,

(ii) appropriate penalties,

(iii) appropriate disciplinary measures,

(iv) appropriate regulatory sanctions,

and

(b) making available to the public information relating to the measures taken and the penalties imposed in respect of statutory auditors and audit firms.**]**

F552[CHAPTER 7

Quality assurance]

(3) Where the public-interest entity is exempt from the requirement for an audit committee under *section 1551*, this section applies to the directors of the public-interest entity.

(4) Where a public-interest entity relies on the provisions of *section 382*, *384* or *385*, the public-interest entity shall, as soon as is practicable, inform the Supervisory Authority of that fact.

(5) The appointment of an auditor or audit firm shall be invalid if the appointment contravenes a provision of this section.

(6) (a) Subject to *paragraph (b)*, a public-interest entity shall keep records demonstrating that the selection procedures referred to in *subsection (1)* have been carried out.

(b) The public-interest entity shall keep those records for at least 6 years from the date on which the selection procedures were completed.

(7) A person who contravenes *subsection (6)(a)* or *(b)* shall be guilty of a category 4 offence.**]**

F576**[Appointment of statutory auditors or audit firms by public-interest entities - informing the Supervisory Authority**

1514. (1) Subject to *subsection (2)*—

(a) where a statutory auditor or audit firm is first appointed by a public-interest entity on or after 17 June 2016, the statutory auditor or audit firm shall inform the Supervisory Authority within one month after the date of such appointment that the statutory auditor or audit firm has been appointed to hold office, and

(b) where a statutory auditor or audit firm which has complied with *paragraph (a)* is subsequently appointed by the same or a different public-interest entity, the statutory auditor or audit firm shall inform the Supervisory Authority within one month after the date of such appointment that the statutory auditor or audit firm has been appointed to hold office only if, immediately before the time of such appointment, the statutory auditor or audit firm held no such office with any public-interest entity.

(2) The information shall be submitted in such form and manner as the Supervisory Authority specifies and may be used by the Supervisory Authority in the performance of its functions.

(3) A person who contravenes *subsection (1)* shall be guilty of a category 3 offence.**]**

F577**[Removal of statutory auditors or audit firms by public-interest entities - supplementary provisions**

1515. (1) In the case of a statutory audit of a public-interest entity—

(a) shareholders representing 5 per cent or more of the voting rights or of the share capital, or

(b) the Supervisory Authority,

may bring a claim before the High Court for the removal of the statutory auditor or audit firm subject to there being good and substantial grounds for bringing such a claim before the Court.

(2) The grounds for bringing the claim before the High Court shall relate to—

(a) the conduct of the auditor or audit firm with regard to the performance of his or her duties as auditor of the public-interest entity or otherwise, or

(b) the petitioner's opinion that it is in the best interests of the public-interest entity to do so.

(3) For the purposes of *subsection (2)*—

(a) diverging opinions on accounting treatments or audit procedures cannot constitute the basis for the passing of any resolution for the purposes of that subsection, and

(b) 'best interests of the public-interest entity' shall not include any illegal or improper motive with regard to avoiding disclosures or detection of any contravention by the entity of this Act.**]**

F578**[Directors' report to include date of last appointment of statutory auditor or audit firm**

1516. (1) The directors' report shall contain details of the date of appointment of the public-interest entity's statutory auditor or audit firm.

(2) Where a public-interest entity has sought an extension from the Supervisory Authority under *section 1548*, pursuant to Article 17(6) of Regulation (EU) No 537/2014, the directors' report shall also contain details of the extension granted.

(3) In this section, 'directors' report' means the directors' report required by *section 325*.**]**

F579**[**CHAPTER 11

*Confidentiality and professional secrecy***]**

F580**[Rules of confidentiality to apply**

1517. (1) The rules of confidentiality and secrecy of a recognised accountancy body (of which the statutory auditor or audit firm concerned is a member) shall apply with respect to information and documents to which a statutory auditor or audit firm has access when carrying out a statutory audit.

(2) The statutory auditor or audit firm, as the case may be, shall comply with those rules of confidentiality and secrecy.

(3) In the case of an audit firm registered in accordance with *section 1465*, the rules of confidentiality and secrecy of the recognised accountancy body of which the key audit partner who carries out the statutory audit on behalf of the audit firm is a member shall apply with respect to information and documents to which the audit firm (or a statutory auditor on behalf of the firm) has access when carrying out a statutory audit.**]**

F581**[Supplemental provisions in relation to *section 1517***

1518. (1) *Section 1517* shall continue to apply with respect to the carrying out of a statutory audit notwithstanding—

(a) that the statutory auditor or audit firm referred to in that section has ceased to be engaged in that audit, or

(b) that the auditor or audit firm referred to in that section ceases to be—

(i) a statutory auditor or audit firm, or

(ii) an auditor or audit firm.

(2) Accordingly, in such a case—

(a) the statutory auditor or, as the case may be, audit firm, or

(b) the former such auditor or, as the case may be, audit firm,

shall continue to comply with the rules of confidentiality and secrecy concerned.**]**

F582**[Saving**

1519. (1) Nothing in *section 1517* or *1518* shall operate to prevent the recognised accountancy body from complying with its obligations under the relevant provisions.

F587**[Professional privilege**

1524. Nothing in this Chapter compels the disclosure by any person of any information that the person would be entitled to refuse to produce on the grounds of legal professional privilege.**]**

F588**[No liability for acts done in compliance with obligations imposed by relevant provisions**

1525. (1) No professional or legal duty to which a statutory auditor or audit firm is subject by virtue of his or her appointment as a statutory auditor or audit firm shall be regarded as contravened by reason of compliance with the obligations imposed by the relevant provisions.

(2) No liability to the undertaking audited or being audited, its shareholders, creditors, or other interested parties shall attach to the statutory auditor or audit firm by reason of such compliance.

(3) For the avoidance of doubt, nothing in this section affects the liability of a statutory auditor or audit firm for negligence or breach of duty in the conduct of a statutory audit by him or her.**]**

F589**[**CHAPTER 12

*Auditing standards and audit reporting***]**

F590**[Auditing standards to be applied**

1526. (1) The Supervisory Authority shall adopt the auditing standards to be applied and statutory auditors and audit firms shall carry out statutory audits in accordance with those standards.

(2) On and from the adoption of international auditing standards, statutory auditors and audit firms shall carry out statutory audits in accordance with those standards.

(3) The reference in *subsection (2)* to the adoption of international auditing standards is a reference to the adoption by the Commission, in accordance with the procedure referred to in Article 26 of the Audit Directive, of international auditing standards.

(4) The Supervisory Authority may prescribe by regulations audit procedures or requirements, in addition to the international auditing standards adopted by the Commission under Article 26 of the Directive, only—

(a) if those audit procedures or requirements are necessary in order to give effect to legal requirements in the State relating to the scope of statutory audits, or

(b) to the extent necessary to add to the credibility and quality of financial statements.

(5) The Supervisory Authority shall communicate the audit procedures or requirements referred to in *subsection (4)* to the Commission at least 3 months before their entry into force or, in the case of requirements already existing at the time of adoption of an international auditing standard, at the latest within 3 months of the adoption of the relevant international auditing standard.

(6) In the case of the statutory audit of small companies, the Supervisory Authority may provide that the application of the auditing standards referred to in *subsection (1)* is to be proportionate to the scale and complexity of the activities of such companies and may take the measures necessary in order to ensure the proportionate application of the auditing standards to the statutory audits of small companies.

(7) In this section, 'standards' include standards on professional ethics and internal quality control in addition to standards on auditing.**]**

such time as the investigation, inquiry, claim, assessment, appeal or proceeding has been concluded or for a period of at least 6 years, whichever is the longer.**]**

F597**[**CHAPTER 14

*Objectivity***]**

F598**[Future viability**

1532. Without prejudice to the reporting requirements referred to in *sections 336*, *337* and *391* and, where applicable, Articles 10 and 11 of Regulation (EU) No 537/2014, the scope of the statutory audit shall not include assurance on the future viability of the audited undertaking or on the efficiency or effectiveness with which the directors of the undertaking have conducted or will conduct the affairs of the undertaking.**]**

F599**[**CHAPTER 15

*Independence***]**

F600**[Requirement for independence - general**

1533. (1) During the period in which a statutory audit is being carried out—

(a) the statutory auditor or audit firm, as the case may be,

(b) in the latter case, any statutory auditor of the statutory audit firm, and

(c) any individual in a position to directly or indirectly influence the outcome of the statutory audit,

shall be independent of, and not involved in the decision-taking of, the audited undertaking.

(2) During the period in which a statutory audit is being carried out, a statutory auditor or audit firm, as the case may be, shall take all reasonable steps to ensure that his or her independence is not affected by—

(a) any existing or potential conflict of interest, or

(b) any business or other direct or indirect relationship,

involving the statutory auditor or audit firm carrying out the statutory audit.

(3) *Subsection (2)* also applies, with any necessary modifications, to—

(a) the network of the statutory auditor or audit firm,

(b) the managers, auditors, employees or any other individuals whose services are placed at the disposal or under the control of the statutory auditor or audit firm,

(c) any person directly or indirectly linked to the statutory auditor or audit firm by control, and

(d) managers, auditors, employees or any other individuals whose services are placed at the disposal or under the control of a person linked to the statutory auditor or audit firm by control.

(4) The obligations referred to in *subsections (1)* and *(2)* shall be required at least during both the period to which the financial statements to be audited relate and the period during which the statutory audit is carried out.**]**

F601**[Professional scepticism**

1534. (1) When carrying out a statutory audit, the statutory auditor or the audit firm shall—

(a) maintain professional scepticism throughout the audit,

(b) maintain professional scepticism when reviewing management estimates relating to fair values, the impairment of assets, provisions, and future cash flow relevant to the audited undertaking's ability to continue as a going concern, and

(c) recognise the possibility of a material misstatement due to facts or behaviour indicating irregularities, including fraud or error, notwithstanding the statutory auditor's or the audit firm's past experience of the honesty and integrity of the audited undertaking's management and of the persons charged with its governance.

(2) For the purposes of this section, 'professional scepticism' means an attitude that includes a questioning mind, being alert to conditions which may indicate possible misstatement due to error or fraud, and a critical assessment of audit evidence.**]**

F602**[Prohibited relationships - specific provisions to secure independence**

1535. (1) A statutory auditor or audit firm shall not carry out a statutory audit if there is any threat of self-review, self-interest, advocacy, familiarity, or intimidation, created by any direct or indirect financial, personal, business, employment or other relationship between—

(a) the statutory auditor or audit firm or network to which he or she belongs or any individual in a position to influence the outcome of the statutory audit, and

(b) the audited undertaking,

as a result of which an objective, reasonable and informed third party, taking into account the safeguards applied, would conclude that the statutory auditor's or audit firm's independence is compromised.

(2) Without prejudice to the generality of *subsection (1)*, a person shall not act as a statutory auditor of an undertaking if he or she is—

(a) an officer or servant of the undertaking,

(b) a person who has been an officer or servant of the undertaking within a period in respect of which accounts would fall to be audited by the person if he or she were appointed auditor of the undertaking,

(c) a parent, spouse, brother, sister or child of an officer of the undertaking,

(d) a person who is a partner of or in the employment of an officer of the undertaking,

(e) a person who is disqualified under this subsection for appointment as auditor of a body corporate that is a subsidiary or holding undertaking of the undertaking or a subsidiary of the undertaking's holding undertaking, or would be so disqualified if the body corporate were a company, or

(f) a person in whose name a share in the undertaking is registered, whether or not that person is the beneficial owner of the share.

(3) Without prejudice to the generality of *subsections (1)* and *(2)*, a statutory audit firm, regardless of its legal structure, shall not carry out a statutory audit of an undertaking if—

(a) any principal of the audit firm is an officer or servant of the undertaking,

(b) any principal of the audit firm has been an officer or servant of the undertaking within a period in respect of which accounts would fall to be audited by the firm if the firm was appointed auditor of the undertaking, or

F604**[Prohibited relationships - mergers and acquisitions**

1537. (1) If, during the period to which the financial statements relate, an audited undertaking is acquired by, merges with, or acquires, another undertaking, the statutory auditor or audit firm shall identify and evaluate any current or recent interests or relationships, including any non-audit services provided to that undertaking, which, taking into account available safeguards, could compromise the statutory auditor's or audit firm's independence and ability to continue with the statutory audit after the effective date of the merger or acquisition.

(2) As soon as possible, and in any event within 3 months of the merger or acquisition referred to in *subsection (1)*, the statutory auditor or audit firm shall take all such steps as may be necessary to terminate any current interests or relationships that would compromise his or her independence and shall, where possible, adopt safeguards to minimise any threat to his or her independence arising from prior and current interests and relationships.**]**

F605**[Threats to independence and other information to be recorded**

1538. A statutory auditor or audit firm shall document in the audit working papers all significant threats to his or her independence as well as the safeguards applied to mitigate those threats.**]**

F606**[Preparation for statutory audit and assessment of threats to independence**

1539. A statutory auditor or audit firm shall, before accepting or continuing an engagement for a statutory audit, assess and document the following:

(a) whether he or she complies with the requirements set out in *sections 1533* and *1535* to *1538*;

(b) whether there are threats to his or her independence and the safeguards applied to mitigate those threats;

(c) whether he or she has the competent employees, time and resources needed in order to carry out the statutory audit in an appropriate manner;

(d) whether, in the case of an audit firm, the key audit partner is approved as statutory auditor in the Member State requiring the statutory audit.**]**

F607**[Non-intervention by certain persons in execution of audit**

1540. Neither—

(a) the owners or shareholders of a statutory audit firm or the owners or shareholders of an affiliated firm, nor

(b) the members of the administrative, management or supervisory body of such a firm or of an affiliated firm,

shall intervene in the execution of a statutory audit in any way which jeopardises the independence and objectivity of the statutory auditor who carries out the statutory audit on behalf of the statutory audit firm.**]**

F608**[Internal organisation of statutory auditors and audit firms**

1541. (1) A statutory auditor or audit firm shall comply with the following organisational requirements:

(a) the audit firm shall establish appropriate policies and procedures to ensure that no person, including any partner, director, member or shareholder of the audit firm or of a firm in its network, intervenes in the carrying out of a statutory audit in any way which jeopardises the independence and objectivity of the statutory auditor who carries out the statutory audit on behalf of the audit firm;

(b) the statutory auditor or audit firm shall have sound administrative and accounting procedures, internal quality control mechanisms, effective

(2) Subject to *section 1552*, the Supervisory Authority, the recognised accountancy bodies and the Registrar with the foregoing functions under the relevant provisions shall render assistance to the counterpart authorities in other Member States and to the relevant European Supervisory Authorities and, in particular, shall exchange information and cooperate with them in investigations relating to the carrying out of statutory audits.

(3) In this section, 'counterpart authorities in other Member States' means competent authorities or bodies in other Member States with functions corresponding to those of the Supervisory Authority, the recognised accountancy bodies and the Registrar with regard to approval, registration, quality assurance, inspection and discipline under the relevant provisions.**]**

F624**[Confidentiality of information**

1554. (1) A person shall not disclose, except in accordance with law, information that—

(a) is obtained in performing functions under any provision of the relevant provisions, and

(b) has not otherwise come to the notice of members of the public.

(2) A person who contravenes *subsection (1)* shall be guilty of a category 3 offence.**]**

F625**[Supplemental provisions in relation to section 1554**

1555. Without prejudice to *section 1554*, the persons to whom that section applies shall include the following:

(a) a member or director or former member or director of any board or committee, howsoever called, of the Supervisory Authority, the recognised accountancy bodies or the Registrar;

(b) an employee or former employee of the Supervisory Authority, the recognised accountancy bodies or the Registrar;

(c) a professional or other advisor to the Supervisory Authority, the recognised accountancy bodies or the Registrar including a former advisor.**]**

F626**[Obligation to supply information required for certain purposes and saving concerning confidential information**

1556. (1) The Supervisory Authority or a recognised accountancy body shall, on request and without undue delay, supply any information required for the purpose referred to in *section 1553*.

(2) *Section 1554* shall not prevent the Supervisory Authority or a recognised accountancy body from complying with any such request or exchanging confidential information.**]**

F627**[Obligation of Supervisory Authority or recognised accountancy body to gather information**

1557. (1) Where necessary, the Supervisory Authority or a recognised accountancy body, on receiving a request referred to in *section 1556(1)*, shall, without undue delay, take the necessary measures to gather the required information.

(2) If the Supervisory Authority or a recognised accountancy body of whom a request under *subsection (1)* is made is not able to supply, without undue delay, the required information, it shall notify the counterpart authority in the other Member State that made the request of—

(a) the fact of the delay, and

(b) the reasons therefor.**]**

(a) the Commission has, in accordance with Article 46(2) of the Audit Directive, assessed the systems referred to in *subsection (1)* as meeting requirements equivalent to those in the corresponding provisions of the Audit Directive, and

(b) the Supervisory Authority is satisfied that the law of the third country concerned affords reciprocal rights to a statutory auditor or audit firm with regard to being granted corresponding exemptions under that law,

the Supervisory Authority may rely on the equivalence decided by the Commission, partially or entirely, and thus to disapply or modify the requirements in *sections 1573* and *1574* partially or entirely and the third-country auditor or third-country audit entity shall be partially or entirely exempted accordingly.

(3) The Supervisory Authority shall notify the Commission of the main elements of its cooperative arrangements with systems of public oversight, quality assurance and investigations and penalties of the third country concerned, arising out of arrangements it has entered into with that third country for the purposes of the reciprocity referred to in *subsection (2)(b)*.**]**

F655**[Investigations and sanctions**

1581. *Sections 934* to *934I* shall, with any necessary modifications, apply to third-country auditors and third-country audit entities as those sections apply to statutory auditors and audit firms and audited entities.**]**

F656**[**CHAPTER 22

*Savings for disciplinary proceedings in being***]**

F657**[Savings for disciplinary proceedings in being - 2010 Audits Regulations**

1582. (1) Nothing in the Companies (Statutory Audits) Act 2018 (and, in particular, provisions amending this Act) affect disciplinary proceedings in being before 17 June 2016 by a recognised accountancy body against any of its members and, accordingly, those proceedings may be continued on and after that date by that body against the member or members concerned.

(2) If, as a result of proceedings referred to in *subsection (1)* in relation to a person referred to in that subsection, the person's membership of the recognised accountancy body is terminated by the body or the body's approval (howsoever expressed) of the person to act as an auditor is withdrawn, then any deemed approval of the person as a statutory auditor or audit firm by virtue of *section 1471* ceases to have effect.**]**

F658**[Savings for disciplinary proceedings in being - 2016 Audits Regulations**

1583. (1) Nothing in the Companies (Statutory Audits) Act 2018 (and, in particular, provisions amending this Act) affect disciplinary proceedings (not being disciplinary proceedings referred to in *section 1582(1)*) in being before the date of commencement of section 3(6) of that Act by a recognised accountancy body against any of its members and, accordingly, those proceedings may be continued on and after that date by that body against the member or members concerned.

(2) If, as a result of proceedings referred to in *subsection (1)* in relation to a person referred to in that subsection, the person's membership of the recognised accountancy body is terminated by the body or the body's approval (howsoever expressed) of the person to act as an auditor is withdrawn, then any deemed approval of the person as a statutory auditor or audit firm by virtue of *section 1471* ceases to have effect.**]**